

India Ratings Assigns Indo Borax & Chemicals's Bank Loan Facilities 'IND BBB+'/Stable

Jul 23, 2026 | Indo borax & chemicals Limited | Specialty Chemicals

India Ratings and Research (Ind-Ra) has rated Indo Borax & Chemicals Limited (IBCL) bank loan facilities as follows:

Details of Instruments

Instrument Type	Regulator of Instrument	Date of Issuance	Coupon Rate	Maturity Date	Size of Issue (INR million)	Rating Assigned with Outlook/Watch	Rating Action
Bank loan facilities	RBI	-	-	-	600	IND BBB+/Stable/IND A2+	Assigned

Analytical Approach

Ind-Ra has taken a standalone view of IBCL to assign the rating.

Detailed Rationale of the Rating Action

The rating reflects IBCL's established position in the domestic boric acid industry, supported by its long operating track record, with around 50% market share in the steel/refractory segment, and adequate liquidity profile. The company's revenue improved in FY26, driven by higher boric acid volumes, improved realisations, and increased contribution from disodium octaborate tetrahydrate (DOT).

Despite an improvement in its blended realisations, IBCL's EBITDA margins moderated in FY26, mainly due to higher raw material costs per tonne (t) and the impact of an unplanned shutdown of over 45 days in 3QFY26. Consequently, its EBITDA/t declined to around INR26,130/metric tonnes (MT). The management expects the margins to remain at 20%-22% over the medium term.

The rating is constrained by IBCL's moderate scale of operations, high dependence on boric acid, 100% import dependence for its key raw material, an inventory-driven working capital cycle, and promoter-level pledge risk. While IBCL had no debt outstanding at FYE26, it plans to avail a working capital facility of around INR600 million over the medium term. Furthermore, 100% of the promoter shareholding is pledged to secure Zenrock's acquisition debt, comprising outstanding non-convertible debentures (NCD) principal worth around INR2,550 million and a bullet repayment due in FY31. As a result, promoter deleveraging and pledged shares remain key rating monitorables.

List of Key Rating Drivers

Strengths

- Strong business profile; forward integration efforts to further strengthen business profile
- Volume-led revenue growth in FY26; debottlenecking and planned capex to support future growth
- Credit metrics to remain healthy despite proposed debt funding over medium term

Weaknesses

- Product/geographical concentration reflected in single product and 100% import dependence
- Moderation in EBITDA/t in FY26; likely to remain stable in FY27
- Working capital intensive operations with higher raw material days; exposed to inventory losses
- 100% pledge of promoter shareholding remains key monitorable

Detailed Description of Key Rating Drivers

Strong Business Profile; Forward Integration Efforts to Further Strengthen Business Profile: IBCL has an established operating track record in boron-based chemicals, with operations dating back to 1980. The company set up its first boric acid plant in 1981 at Asangaon, Maharashtra, followed by a borax plant in 1983. It currently operates its key manufacturing facility at Pithampur, Madhya Pradesh. The company's product portfolio primarily comprises boric acid — technical grade and Indian Pharmacopoeia (IP) grade— along with borax and DOT. Boric acid remains the major revenue contributor for IBCL and caters to end-user industries, such as steel, refractories, glass, ceramics, pharmaceuticals, personal care, agriculture and industrial chemicals. In the steel industry, IBCL's boric acid is mainly used in ramming mass and refractory/furnace-lining applications, where it acts as a heat-activated bonding/fluxing input and supports the strength and heat resistance of furnace lining materials used in steel-melting operations. As per the management, IBCL has a market share of around 50% in the boric acid requirement for the steel/refractory segment, which supports its established customer base in the domestic market. The company also has a differentiated position in IP-grade boric acid, and its disclosures state that it is the sole manufacturer of IP-grade boric acid in India with a valid Food and Drug Administration licence. Additionally, IBCL was the first company in India to receive Bureau of Indian Standards (BIS) certification for manufacturing technical grade boric acid. IBCL is focusing on improving the utilisation of its existing boric acid capacity through de-bottlenecking, along with forward integration into value-added boron derivatives such as DOT, boron oxide and zinc borate. These initiatives are expected to support product diversification and improve its revenue mix over the medium term, although a meaningful scale-up will depend on market development, customer acceptance and sustainable demand for these value-added products.

Volume-led Revenue Growth in FY26; Debottlenecking and Planned Capex to Support Future Growth: IBCL's scale of operations remained moderate, with its revenue increasing to around INR2,155 million in FY26 (FY25: INR1,750 million), supported by higher boric acid volumes and improved product realisations. Boric acid sales volumes increased to around 15,365 MT in FY26 (FY25: 14,296 MT), while realisations improved to around INR127,749/MT (INR115,874/MT). The company also witnessed an increase in DOT volumes to around 983 MT in FY26 (FY25: 679 MT), supported by improved product acceptance and realisations. Consequently, blended realisations improved to around INR127,488/MT in FY26 (FY25: INR117,168/MT). Over the near term, the agency expects the revenue growth to be supported by ongoing de-bottlenecking initiatives at the existing boric acid capacity, through which the management intends to increase annual production to around 18,000 MT from around 14,000-15,000 MT, without undertaking any major capex. Furthermore, IBCL plans to increase the DOT production to around 1,500 MT, which should support incremental revenue growth. In addition, the company plans to undertake a capex of around INR900 million over FY27-FY28, which would be funded entirely through internal accruals. Of the total capex, around INR200 million has been earmarked for setting up a 4,000 MT boron oxide capacity, while the balance is proposed for establishing an additional 10,000 MT boric acid capacity. Commercial operations from the proposed facilities are expected to commence from FY29. Accordingly, meaningful growth beyond the de-bottlenecking phase is expected to be driven by the timely execution and ramp-up of the proposed capacities, along with the development of markets for boric acid and downstream products such as DOT, boron oxide and zinc borate. Ind-Ra expects marginal growth in blended realisation per tonne over the medium term, led by stable boric acid realisations and higher contribution from value-added products.

Credit Metrics to Remain Healthy Despite Proposed Debt Funding Over Medium Term: IBCL's credit metrics remained strong, supported by its debt-free balance sheet, healthy operating profitability and sizeable liquidity buffer. The company had no debt outstanding on its books at FYE26, resulting in nil leverage and strong coverage metrics, given the absence of finance cost and steady operating accruals. Despite the proposed working capital facility, Ind-Ra expects the company's credit metrics to remain healthy, supported by its low leverage, adequate liquidity and internal accrual generation. However, any sizeable utilisation of the working capital facility, higher-than-expected capex, large dividend payout, an increase in its inventory requirements, or a weakening in its operating performance could weaken its liquidity cushion and will remain key rating monitorable.

Product/Geographical Concentration Reflected in Single Product and 100% Import Dependence: IBCL's business profile remains constrained by its high dependence on boric acid, which contributed a dominant share to the company's revenue in FY26. While the company has initiated efforts to diversify its product portfolio through value-added boron derivatives, such as DOT, boron oxide and zinc borate, the contribution from these products remains limited at present. Furthermore, the domestic market for products such as DOT remains relatively small, which may constrain its near-term scale-up despite its higher value addition. Accordingly, a meaningful reduction in its product concentration will depend on the company's ability to develop end markets, achieve customer acceptance and scale up of downstream products over the medium term.

Moderation in EBITDA/T in FY26; likely to Remain Stable in FY27: IBCL's EBITDA/t moderated to around INR26,130/MT in FY26 (FY25: INR30,680/MT), despite an improvement in blended realisations. The company's blended realisation increased to around INR127,488/MT in FY26 (FY25: INR117,168/MT), supported by better realisations in boric acid and DOT. However, the benefit of higher realisations was offset by a sharper increase in raw material consumption cost per tonne to around INR67,187/MT in FY26 (FY25: INR54,762/MT). The increase in raw material consumption cost was mainly due to higher procurement cost of imported boron ore/borates, as the company entirely depends on imports for its key raw material. Furthermore, other fixed and operating costs per tonne increased during the year, partly due to lower production efficiency and the impact of the unplanned 45-day plant shutdown in 3QFY26, leading to weaker fixed cost absorption. The management expects the EBITDA margins to remain at 20%-22% in the medium term. Accordingly, Ind-Ra expects the EBITDA/t to remain broadly stable in FY27, supported by stable blended realisations and better utilisation, although the same will remain sensitive to imported raw material prices, procurement timing and inventory costs.

Working Capital Intensive Operations with Higher Raw Material Days; Exposed to Inventory Losses: IBCL's working capital cycle is primarily driven by inventory holding, given the company's dependence on imported raw materials. The company's key raw materials, boron ore/borates, are entirely imported and are sourced mainly from Turkey, South America and North America, depending on comparative pricing and availability. Since raw material procurement generally involves advance payments and has a lead time of three-to-four months from the order date, IBCL maintains inventory of four-to-five months to ensure continuity of production. Raw materials account for 85%–90% of the company's total inventory, with the balance largely comprising finished goods. The receivable cycle remains moderate, as IBCL receives advances from certain customers, while other customers are generally extended a credit period of around 30 days. However, the creditor days remained limited due to advance payment terms for raw material procurement. Accordingly, the company's working capital requirement is largely a function of inventory stocking rather than receivables. While adequate inventory helps mitigate supply-chain disruption risk and ensures uninterrupted plant operations, elevated inventory levels expose the company to raw material price movement and procurement-timing risk, which can impact margins and operating cash flows. Its inventory management will therefore remain a key rating monitorable.

100% Pledge of Promoter Shareholding Remains Key Monitorable: The rating is constrained by the 100% pledge of the promoter shareholding held by Zenrock Chemicals Private Limited (ZCPL) in IBCL. The pledge was created to secure promoter-level acquisition financing raised for acquiring control of IBCL and does not form a part of the company's standalone borrowings. The acquisition was funded through the issuance of secured NCDs worth INR3,900 million and compulsorily convertible preference shares worth INR750 million at the promoter level. As per the management, ZCPL has already repaid a portion of the acquisition debt; however, the remaining debt is subject to a bullet repayment obligation in FY31. IBCL has announced a dividend of INR40 per share in FY26, and the dividend inflow to ZCPL is proposed to be utilised towards the repayment of the promoter-level debt. The management stated that the dividend payout is supported by cash flows generated from the sale of certain non-operational fixed assets, which were earlier held in IBCL's books and sold to the erstwhile promoters; the proceeds from such sale have been distributed to shareholders through dividend. The management has further stated that, after this dividend-linked repayment, future servicing and repayment of ZCPL's promoter-level debt will be met in the personal capacity of the promoters / promoter-level cash flows, and ZCPL is not expected to rely on IBCL's cash flows for future debt servicing. Nevertheless, the complete encumbrance of the promoter shareholding and the bullet repayment obligation in FY31 remain key rating monitorables. Any stress in servicing or refinancing the promoter-level debt could result in invocation of pledged shares, a change in the ownership structure, or increased dividend expectations from IBCL. Accordingly, the pace of promoter-level deleveraging, the release of the pledged shares and repayment/refinancing strategy for FY31 bullet obligation will remain key rating monitorables.

Liquidity

Adequate: IBCL's liquidity is strong, supported by sizeable cash and cash equivalents of around INR2,638 million at FYE26 (FYE25: INR1,633 million) and steady internal accrual generation. The company had no debt outstanding on its books at FYE26; hence, there are no scheduled debt repayment obligations at the standalone level. However, the liquidity cushion is expected to moderate in the near term, given the announced dividend of INR40 per share in FY26, translating into an aggregate payout of around INR1,280 million in FY27, along with planned capex of around INR900 million over FY27-FY28, which the management expects to fund entirely through internal accruals.

The company's working capital cycle is largely inventory-driven, given its dependence on imported boron ore/borates with a lead time of three-to-four months. IBCL maintains around four-to-five months of inventory, with raw materials accounting for 85%-90% of total inventory. The receivable cycle remains moderate, with advances from certain customers and credit of around 30 days to others. The company currently does not have working capital limits, although it plans to avail a facility of around INR600 million to support business requirements.

At the promoter level, ZCPL had raised NCDs for acquisition financing, which do not form part of IBCL's standalone borrowings. As per the management, ZCPL has repaid around INR1,350 million of NCD principal, reducing the outstanding amount to around INR2,550 million, with a bullet repayment due in FY31. The dividend inflow to ZCPL from IBCL's announced dividend is expected to be around INR440 million net of tax deducted at source (TDS) and is proposed to be utilised towards promoter-level debt repayment. The management stated that the dividend payout is supported by cash flows from the sale of certain non-operational fixed assets to the erstwhile promoters. Any higher-than-expected dividend distribution or cash upstreaming from IBCL to support promoter-level debt servicing will remain a key monitorable.

Rating Sensitivities

Positive: A sustained improvement in operating scale and profitability, successful scale-up of value-added products, timely capex completion, comfortable liquidity, and reduction/release of pledged promoter shareholding.

Negative: Sustained pressure on profitability, weakening of liquidity or credit metrics, delay/cost overrun in planned capex, slower ramp-up of new products, or promoter-level debt stress leading to higher cash upstreaming from IBCL.

Any Other Information

Not applicable

About the Company

IBCL, incorporated in 1980, is engaged in manufacturing boron-based chemicals, primarily boric acid, along with Borax and DOT. The company's products cater to industries such as steel, refractories, glass, ceramics, pharmaceuticals, personal care and agriculture, with boric acid being used in the steel industry mainly for ramming mass and refractory/furnace-lining applications. The company currently operates its key manufacturing facility at Pithampur, Madhya Pradesh with a capacity of 20,000 MT for boric acid and 6,000 MT for DOT.

Key Financial Indicators

Particulars	FY26	FY25
Revenue (INR million)	2,154.51	1,752.61
EBITDA (INR million)	441.59	458.92
EBITDA Margin (%)	20.50	26.18
Gross Interest Coverage (x)	669.08	248.06
Net Leverage (x)	NM	NM
Source: IBCL; Ind-Ra		

Status of Non-Cooperation with previous rating agency

Not applicable

Rating History

Instrument Type	Current Rating/Outlook		
	Rating Type	Rated Limits (million)	Current Rating
Bank loan facilities	Long-term/Short-term	INR600.00	IND BBB+/Stable/IND A2+

Disclosure on instruments / activities and names of regulators:

A list of products/activities or ratings of instruments falling under the purview of various financial sector regulators (FSRs) along with the names of respective FSRs has been duly disclosed by Ind-Ra on its website. A link to the same has been provided below for ready reference:

Rating Activities

Note: Kindly note that for activities or instruments falling under the purview of FSRs other than SEBI, the grievance/dispute redressal mechanisms and investor protection mechanisms provided by SEBI shall not be available.

Bank wise Facilities Details

Complexity Level of the Instruments

Instrument Type	Complexity Indicator
Bank loan facilities	Low

For details on the complexity level of the instruments, please visit <https://www.indiaratings.co.in/complexity-indicators>.

Contact

Primary Analyst

Harsh Furia

Analyst

India Ratings and Research Pvt Ltd

Wockhardt Towers, 4th Floor, West Wing, Bandra Kurla Complex, Bandra East, Mumbai - 400051

+91 22 40356182

For queries, please contact: infogrp@indiaratings.co.in

Secondary Analyst

Nikhil Joshi

Associate Director

02240356155

Media Relation

Ameya Bodkhe

Marketing Manager

+91 22 40356121

About India Ratings

India Ratings and Research (Ind-Ra) is India's SEBI registered credit rating agency committed to providing India's credit markets accurate, timely and prospective credit opinions. Built on a foundation of independent thinking, rigorous analytics, and an open and balanced approach towards credit research, Ind-Ra has grown rapidly during the past decade, gaining significant market presence in India's fixed income market.

Ind-Ra currently maintains coverage of corporate issuers, financial institutions (including banks and insurance companies), finance companies, urban local bodies, and structured finance and project finance companies.

Headquartered in Mumbai, Ind-Ra has seven branch offices located in Ahmedabad, Bengaluru, Chennai, Gurugram, Hyderabad, Kolkata and Pune. Ind-Ra is recognised by the Securities and Exchange Board of India and the Reserve Bank of India.

Ind-Ra is a 100% owned subsidiary of the Fitch Group.

Solicitation Disclosures

Additional information is available at www.indiaratings.co.in. The ratings above were solicited by the issuer, and therefore, India Ratings has been compensated for the provision of the ratings.

Ratings are not a recommendation or suggestion, directly or indirectly, to you or any other person, to buy, sell, make or hold any investment, loan or security or to undertake any investment strategy with respect to any investment, loan or security or any issuer.

APPLICABLE CRITERIA AND POLICIES

Evaluating Corporate Governance

Corporate Rating Methodology

Parent and Subsidiary Rating Linkage

Short-Term Ratings Criteria for Non-Financial Corporates

The Rating Process

DISCLAIMER

India Ratings and Research Private Limited (India Ratings) is a private limited company registered under the provisions of the Companies Act, 1956, having CIN U67100MH199SFTC140049, and registered office at Wockhardt Towers, 4th Floor, West Wing, Bandra Kurla Complex, Bandra East, Mumbai, Maharashtra, 400051, India. The contact details of India Ratings are Telephone No.: +91 22 4000 1700 and Fax. No.: +91 22 4000 1701. India Ratings is registered with the Securities and Exchange Board of India (SEBI) as a Credit Rating Agency under Section 12 of the SEBI Act, 1992, having SEBI Registration Number IN/CRA/002/1999.

India Ratings and Research Private Limited (India Ratings) is a Credit Rating Agency registered with the Securities and Exchange Board of India (SEBI) under Section 12 of the SEBI Act, 1992. In this capacity, India Ratings undertakes ratings of listed and proposed to be listed instruments that fall under the regulatory oversight of SEBI. In addition, in line with Regulation 9(f) of the SEBI (Credit Rating Agencies) Regulation, 1999, India Ratings rates financial instruments falling under the purview of other financial sector regulators (FSR). Instruments which come under the purview of other FSRs do not come under the overall governance of SEBI. Issuers/Users/readers of this communication/report are, therefore, cautioned to know the risks involved in dealing in such instruments. Such instruments can carry Liquidity and Price Risk which pertains to how saleable a Security is in the market. If a particular Security does not have a market at the time of sale, then the Investor's investments may have to bear an impact depending on its exposure to that particular Security. It is not possible to predict if, and to what extent, a secondary market may develop in the debt securities or at what price the debt securities will trade in the secondary market or whether such market will be liquid or illiquid. The more limited the secondary market is, the more difficult it may be for holders of the debt securities to realise value for the debt securities prior to redemption of the debt securities. If the debt securities are unlisted, then the ability of the Investors to resell or trade them may be limited, leading to liquidity and price risk on the debt securities. The returns from a particular asset class may underperform returns from other asset classes. The changes in government policy in general and changes in taxation may impact the returns to investors. There can be external risks arising out of geopolitical situations which can lead to volatility in/impact the performance of the individual securities. Issuers/Users/readers are advised to note that SEBI's investor protection mechanisms and SEBI's grievance or dispute redressal mechanisms are not applicable to ratings assigned by India Ratings that fall under the purview of other FSRs. Should you have any grievance with instruments under the purview of other FSRs, please write to infogrp@indiaratings.co.in. For any grievance with instruments under the purview of SEBI, please write to investor.grievances@indiaratings.co.in.

All credit ratings assigned by India Ratings are subject to certain limitations and disclaimers. Please read these limitations and disclaimers by following this link: <https://www.indiaratings.co.in/rating-definitions>. In addition, rating definitions and the terms of use of such ratings are available on the agency's public website www.indiaratings.co.in. Published ratings, criteria, and methodologies are available from this site at all times. India Ratings' code of conduct, confidentiality, conflicts of interest, affiliate firewall, compliance, and other relevant policies and procedures are also available from the code of conduct section of this site.